CSX Corp (CSX)

Eastern Rail Duopoly

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*Eastern Rail Duopoly. One of two Class I railroads east of the Mississippi. Operating margin 38.3%, OR down to 61.7% and improving, ROE ~25%. The moat is structural [PR 22-Jul-26]. Record Q2, Raised Guide. $3.94B revenue (+10.1%), EPS $0.54 beat $0.52. FY2026 guide raised: revenue mid-to-high single digits, margin +350bps, FCF +80%. Truck-to-rail conversions are real [PR 22-Jul-26]. Market Prices Perfection. At $48.68 [Mkt 16-Oct-26], the reverse DCF implies 22.4% revenue CAGR, above our $36.94 bull case. Great business, full price. Our framework screens it as a **Hold** with a $29.78 blended target, 39% below the current price.*

HOLD	$29.78	-39%	$48.68
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Record Q2, Raised Guide. $3.94B revenue (+10.1%), EPS $0.54 beat $0.52. FY2026 guide raised: revenue mid-to-high single digits, margin +350bps, FCF +80%. Truck-to-rail conversions are real [PR 22-Jul-26].

Market Prices Perfection. At $48.68 [Mkt 16-Oct-26], the reverse DCF implies 22.4% revenue CAGR, above our $36.94 bull case. Great business, full price.

$3.94B	$0.54	61.7%	1.68M units	$687M	$14.1B
REVENUE (Q2 2026)	EPS (Q2 2026)	OPERATING RATIO (Q2 2026)	VOLUME (Q2 2026)	FREE CASH FLOW (Q2 2026)	FY2025 REVENUE

The moat is structural

Highway-to-rail freight conversions as trucking capacity stays tight

Three scenarios make the valuation range explicit

The DCF values CSX Corp across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$20.24**	-58%
Base	50%	**$30.89**	-37%
Bull	25%	**$37.10**	-24%

Bear ($20.24, -58%): Growth disappoints and multiples compress; the $20.24 target marks the downside case.

Bull ($37.10, -24%): Execution compounds and the multiple rerates; the $37.10 target marks the upside case.

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The probability-blended target implies -39% upside

Blended target: $29.78 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -39% upside from the $48.68 reference price.

$29.78

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

DCF Base $30.75 [DCF 16-Oct-26] Forward P/E 21.3x [Mkt 17-Oct-26] PEG 1.75 [Mkt 17-Oct-26] Base target is 37% below spot. Reverse DCF implies 22.4% revenue CAGR, above our bull case. Expensive in absolute terms.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $29.78 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Highway-to-rail freight conversions as trucking capacity stays tight [Call Q2'26]

Intermodal volume +9% YoY leading broad-based carload growth [PR 22-Jul-26]

Raised FY2026 guide: revenue mid-to-high single digits, operating margin +350bps, FCF +80% [PR 22-Jul-26]

$0.14 quarterly dividend plus buybacks as cash generation recovers [MarketBeat]

What to monitor

Oct 21, 2026. Q3 2026 Earnings (Two-Sided): consensus EPS $0.53 and revenue $3.95B; tests whether the Q2 beat and raised guide held into H2.

2027. Highway-to-Rail Conversions (Positive): tight truck supply and pricing power keep intermodal/merchandise volume growing mid-single digits.

Ongoing. Operating Ratio Path to Sub-60% (Two-Sided): OR improved to 61.7% in Q2; further productivity gains are the margin lever.

$3.94B	$0.54	61.7%	1.68M units
REVENUE (Q2 2026)	EPS (Q2 2026)	OPERATING RATIO (Q2 2026)	VOLUME (Q2 2026)

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$14.1B	$4.7B	$2.9B
2024	$14.5B	$5.4B	$3.5B
2023	$14.7B	$5.5B	$3.7B
2022	$14.9B	$5.7B	$4.1B

Key risks

Overvaluation vs Model. Base case $30.75 is 37% below spot; even the $36.94 bull case trails the stock. The market's implied 22.4% revenue CAGR prices in flawless execution we do not see. [DCF 16-Oct-26]

Coal Exposure. Coal remains a double-digit share of revenue and is structurally declining; intermodal and merchandise must keep offsetting it. [Zacks 16-Oct-26]

Labor Costs and Service Execution. High labor costs and rail network disruptions were flagged as Q3 headwinds. Union labor is the largest controllable cost and bargaining power sits with labor. [Zacks 14-Oct-26]

Leverage and Capex Intensity. $18.9B of debt on a 1.43x debt-to-equity ratio with a 0.81 current ratio. Capex runs ~$2.4B a year; FCF can swing hard in a downturn. [Inc 17-Oct-26]

Investment view

A Q3 2026 miss or operating-ratio deterioration would cut Trend and Forward Growth further. Conversely, sustained mid-single-digit volume growth with OR moving toward sub-60% could make the market's implied growth credible and lift the Valuation score.

Hold. The $29.78 blended target implies -39% upside, balancing the $20.24 / $30.89 / $37.10 Bear / Base / Bull targets.

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Raised FY2026 guide: revenue mid-to-high single digits, operating margin +350bps, FCF +80% [PR 22-Jul-26]

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Upcoming catalysts

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